

Buffett is able to maintain this high level of knowledge about Berkshire's businesses because he purposely limits his selection to companies that are within his area of financial and intellectual understanding. His logic is compelling. If you own a company (either outright or as a shareholder) in an industry you do not fully understand, you cannot possibly interpret developments accurately or make wise decisions.

Investment success is not a matter of how much you know but how realistically you define what you *don't* know. "Invest in your circle of competence," Buffett counsels. "It's not how big the circle is that counts; it's how well you define the parameters."³

Consistent Operating History

Buffett not only avoids the complex, but he also avoids purchasing companies that are either solving difficult business problems or fundamentally changing direction because their previous plans were unsuccessful. It has been his experience that the best returns are achieved by companies that have been producing the same product or service for several years. Undergoing major business changes increases the likelihood of committing major business errors.

"Severe change and exceptional returns usually don't mix," Buffett observes.⁴ Most people, unfortunately, invest as if the opposite were true. Investors tend to be attracted to fast-changing industries or companies that are in the midst of a corporate reorganization. For some unexplained reason, says Buffett, investors are so infatuated with what tomorrow may bring that they ignore today's business reality.

Buffett cares very little for stocks that are hot at any given moment. He is far more interested in buying into companies that he believes will be successful and profitable for the long term. And while predicting the future success is certainly not foolproof, a steady track record is a relatively reliable track record. When a company has demonstrated consistent results with the same type of products year after year, it is not unreasonable to assume that those results will continue.

Buffett also tends to avoid businesses that are solving difficult problems. Experience has taught him that turnarounds seldom turn. It can be more